

INDIAN ECONOMIC DEVELOPMENT

Class XI Economics - Notes arranged according to the Scheme of Work

Units IE 1 to IE 9 | 40 marks | 120 periods

Unit	Chapter	Periods	Weightage (marks)
IE 1	Indian Economy on the Eve of Independence	11	3
IE 2	Indian Economy 1950-1990	11	4
IE 3	Liberalisation, Privatisation, Globalisation (Economic Reforms since 1991)	18	6
IE 4	Poverty (SCERT additional text)	20	6
IE 5	Human Capital Formation in India	11	4
IE 6	Rural Development	13	5
IE 7	Employment: Growth, Informalisation and Other Issues	8	3
IE 8	Environment and Sustainable Development	17	6
IE 9	Comparative Development Experience of India and its Neighbours	11	3
	Total (Indian Economic Development)	120	40

The full paper is 80 marks (240 periods); the remaining 40 marks come from the Statistics units (ST 1 to ST 8), which are not part of these notes. 'Infrastructure' is not a unit in this scheme, so it has been left out.

Study priority by weightage

Higher-mark units first

Marks	Unit	Chapter
6	IE 3	Liberalisation, Privatisation, Globalisation (Economic Reforms since 1991)
6	IE 4	Poverty (SCERT additional text)
6	IE 8	Environment and Sustainable Development
5	IE 6	Rural Development
4	IE 2	Indian Economy 1950-1990
4	IE 5	Human Capital Formation in India
3	IE 1	Indian Economy on the Eve of Independence
3	IE 7	Employment: Growth, Informalisation and Other Issues
3	IE 9	Comparative Development Experience of India and its Neighbours

IE 1. Indian Economy on the Eve of Independence

Weightage: 3 marks | Periods: 11

Pre-British period

India's economy was largely self-reliant, with agriculture as the main means of subsistence. Handicrafts (precious stone and metal work, cotton and silk textiles) were famous and found a global market.

Colonial rule

British policy aimed at protecting and advancing Britain's interests. India became a supplier of raw materials and a buyer of British finished goods. There was no serious official attempt to estimate national income; private estimates were made by Dadabhai Naoroji, William Digby, Findlay Shirras, V.K.R.V. Rao and R.C. Desai. V.K.R.V. Rao's estimate is considered the most important: national income grew about 2% a year and per capita income by less than 0.5%.

Agriculture

Agriculture employed most people but productivity stagnated because of land revenue systems such as the Zamindari system, low technology, lack of irrigation and fertilisers, commercialisation (cash crops instead of food crops), poor flood control and drainage, and low investment. Under the Zamindari system the British appointed zamindars as intermediaries to collect rent; they cared only about rent, not about the farmers' condition.

Industry

India was systematically de-industrialised: handicrafts declined, India became a raw-material exporter and a large market for British goods, and unemployment rose. The only significant modern industry was the Tata Iron and Steel Company (TISCO), founded in 1907. There were no capital-goods industries. Railways, power, communications and ports were in the public sector.

Foreign trade

India exported primary products (raw silk, cotton, wool, sugar, indigo, jute) and imported finished consumer goods (cotton, silk and woollen clothes) and capital goods. The opening of the Suez Canal (artificial waterway in Egypt joining the Mediterranean and Red Seas) gave Britain even more control over trade. A large export surplus was the main feature, but gold or silver did not flow into India as a result.

Demographic condition

The first census was in 1881. Before 1921 India was in the first stage of demographic transition; 1921 is called the 'Great Divide'.

Indicator (colonial period)	Value
Total literacy	16%
Female literacy	7%
Infant mortality	238 per thousand
Life expectancy	32 years

Occupational structure

Sector	Share of workforce
Agriculture	72.56%
Industry	17.29%
Services	10.15%

Infrastructure

The British built the telegraph, ports, roads, railways and waterways, mainly to serve colonial interests (moving the army and raw materials to ports). Railways were introduced in 1850; they enabled long-distance travel and speeded the commercialisation of agriculture and growth of exports.

Negative impact of British rule

- 1 **Colonial economy** - reduced to a British colony.
- 2 **Semi-feudal economy** - capitalism and feudalism existed together.
- 3 **Backward economy** - extreme poverty, inadequate diet, low income, unemployment, underemployment.
- 4 **Stagnant economy** - colonial and feudal exploitation and insignificant policies.
- 5 **Depleted economy** - severe wear and tear of machinery and plants.
- 6 **Fragmented economy** - divide and rule along religious and caste lines.

Positive impact of British rule

- Introduction of railways
- Commercialisation of agriculture
- Development of infrastructure
- Promotion of education
- Certain social changes
- Unification of India
- Strong and efficient administration

Practice questions

- 1 Analyse the impact of the economic policies pursued by the colonial government.
- 2 Comment on any two positive contributions made by the British in India.
- 3 Critically appraise the shortfalls of the industrial policy pursued by the British colonial administration.
- 4 India was unable to build a robust industrial base due to Britain's discrimination against Indian industries. Substantiate.
- 5 During the colonial period the Indian agricultural sector remained stagnant. Do you agree?
- 6 Give a quantitative appraisal of the demographic profile of India during the colonial period.
- 7 India became an exporter of primary products and an importer of finished goods. Critically examine the foreign trade policy of the British in this light.
- 8 Name any two positive aspects of British rule in India.
- 9 Prepare a debate report on: Was British rule beneficial for India?
- 10 Some measures taken by the British to promote their colonial interests indirectly helped India in later years. Do you agree? Justify.
- 11 The British Raj impoverished millions of people in India. Do you agree? Substantiate.
- 12 The traditional handicraft industries were ruined under British rule. Do you agree? Justify.
- 13 Analyse the statement 'colonial policies served the home country more than India' using these indicators: (a) agriculture (b) industry (c) foreign trade (d) infrastructure.

IE 2. Indian Economy 1950-1990

Weightage: 4 marks | Periods: 11

Economic systems

Every economy must answer three questions: what to produce, how to produce, and how to distribute. In **capitalism** the market (demand and supply) decides; in **socialism** the government decides according to society's needs; in a **mixed economy** both the government and the market decide.

Economic planning

Planning sets objectives of development to be achieved within a given period. The Planning Commission was set up in 1950 with the Prime Minister as chairperson; it was renamed NITI Aayog on 1 January 2015. Planning in the real sense began with the Second Five-Year Plan, based on the ideas of P.C. Mahalanobis, founder of the Indian Statistical Institute (ISI).

Goals of the five-year plans

Goal	Meaning
Growth	Increase in the country's capacity to produce goods and services; indicated by a steady rise in GDP.
Modernisation	Adopting new technology and changing social outlook (e.g. equal rights for women).
Self-reliance	Relying on own resources; avoiding imports that India could produce (import substitution) in the first seven plans.
Equity	Every Indian should be able to meet basic needs; reduce inequality and ensure benefits reach the poor.

Agriculture

Land reforms: abolition of intermediaries and land to the tiller; **land ceiling** (maximum size of land one can own). Big landlords challenged the laws in court and former zamindars used loopholes. Kerala and West Bengal implemented land reforms successfully.

Green Revolution: a large increase in food-grain output (mainly wheat and rice) through HYV seeds, irrigation and fertilisers. It broke the stagnation of colonial times, made India self-sufficient in food grains, created a **marketed surplus** and allowed the government to build buffer stocks.

Shortcomings: widened disparities between small and big farmers; HYV crops are more prone to pest attack and small farmers could lose everything. Government loans at low interest helped small farmers also benefit.

Subsidy debate: Subsidies encouraged farmers to adopt new technology; economists argue they should end once the technology is profitable. Others argue farming is risky, most farmers are poor, and removing subsidies would increase inequality between rich and poor farmers.

Industry and trade

Industry gives more stable employment than agriculture and promotes modernisation, so plans stressed industrial development.

Industrial Policy Resolution 1956 (basis of the Second Plan) divided industries into three categories: (1) exclusively state-owned (strategic) industries; (2) industries where the private sector could supplement the state; (3) the remaining industries left to the private sector, but under state control through licensing.

Small-scale industry: The Karve Committee (Village and Small-Scale Industries Committee, 1955) recommended small industries for rural development. A small unit is defined by maximum investment in

assets (Rs. 1 crore at present). They are labour-intensive and create more jobs; many products are reserved for them.

Trade policy - import substitution (inward-looking strategy): replacing imports with domestic production, protected by **tariffs** (tax on imports) and **quotas** (limit on quantity imported). Its main aim was to save foreign exchange.

Merits and demerits of inward-looking trade strategy

Merits	Demerits
Rise in industry's share of GDP; diversified industrial sector; more investment opportunities; more employment.	Inefficient public monopolies; lack of modernisation due to no foreign competition; concentration of power, bureaucracy and corruption; survival of non-viable government enterprises.

Role of the public sector

- 1 Income generation
- 2 Capital formation
- 3 Employment creation
- 4 Infrastructure development
- 5 Building a strong industrial base
- 6 Export promotion and import substitution
- 7 Contribution to the central exchequer
- 8 Checking concentration of income and wealth
- 9 Removing regional disparities

Features, achievements and failures of planning till 1991

Features	Achievements	Failures
Dependence on public sector Controlled private sector Inward-looking trade Protection of small-scale industry Diversification of industry Self-sufficiency in food grains	Rise in national income Rise in per capita income Employment generation Diversified industry Economic and social infrastructure Rise in capital formation	Increase in poverty Rising prices Unemployment Inefficient public sector monopolies Concentration of economic power Corruption

Practice questions

- 1 'Food security and the Green Revolution' - write any four arguments in favour of the Green Revolution.
- 2 Discuss the Green Revolution and its consequences.
- 3 Do you think import substitution can protect domestic industries? Give your views.
- 4 Explain 'growth with equity' as a planning objective.
- 5 Explain the need for and types of land reforms in agriculture.
- 6 Mention the objectives and achievements of India's five-year plans.
- 7 Draw a time line of India's five-year plans (11 plans completed since 1950).
- 8 List arguments in favour of and against the Green Revolution.
- 9 Modernisation is one objective of Indian planning. What are the other objectives?

- 10 Prepare an essay on the 'Goals of Five-Year Plans' pursued until 1991.
- 11 Self-reliance was an important goal of the five-year plans. Give reasons.
- 12 The Green Revolution caused soil degradation through heavy use of chemical fertilisers and pesticides. Substantiate.
- 13 What are miracle seeds and how did they impact agriculture?
- 14 What is a marketable surplus in agriculture?
- 15 What is a plan, and why did India opt for planning?

IE 3. Liberalisation, Privatisation, Globalisation (Economic Reforms since 1991)

Weightage: 6 marks | Periods: 18

Background of the reforms

The crisis can be traced to inefficient management of the economy in the 1980s: expenditure exceeded income and the government borrowed from banks, the public and international institutions. Large spending on the social sector and defence gave no immediate return, and public-sector income was low. Foreign exchange borrowed was spent on consumption. By the late 1980s expenditure exceeded revenue by large margins and no country or funder was willing to lend to India. India approached the **World Bank (IBRD)** and the **IMF** and received a loan of \$7 billion. (IBRD and IMF were created at the Bretton Woods Conference, 1944, and began operating in 1946.)

The **New Economic Policy (NEP)** had two parts: **stabilisation measures** (short-term; correct weaknesses in the balance of payments and control inflation) and **structural reform measures** (long-term; improve efficiency and international competitiveness by removing rigidities).

Liberalisation

Ending restrictions and opening sectors of the economy: industry, finance, tax reforms, foreign exchange, trade and investment.

- **Deregulation of industry:** before 1991 there was industrial licensing, entry barriers for the private sector, reservation for small-scale units and price controls. Licensing was abolished for almost all products (except alcohol, cigarettes, hazardous chemicals etc.). Only defence equipment, atomic energy and railway transport remain reserved for the public sector; many small-scale reservations ended and the market decides prices in many industries.
- **Financial sector reforms:** the RBI's role shifted from regulator to facilitator; private sector banks (Indian and foreign) were allowed; Foreign Institutional Investors (merchant bankers, mutual funds, pension funds) can invest in Indian markets; foreign investment limit in banks raised to about 50%; banks meeting conditions can open branches without RBI approval.
- **Tax reforms:** corporation tax was gradually reduced; the GST Act 2016 created a unified indirect tax from 1 July 2017.
- **Foreign exchange reforms:** the rupee was devalued in 1991 and then exchange rates were largely determined by demand and supply in the market.
- **Trade and investment reforms:** dismantling of quantitative restrictions on imports and exports, reduction of tariffs and removal of import licensing (except hazardous and environmentally sensitive goods). Restrictions on consumer goods and agricultural imports were fully removed in April 2001; export duties were removed.

Goods and Services Tax (GST)

GST is a single comprehensive indirect tax on the supply of goods and services, from manufacturer or service provider to consumer, operational from 1 July 2017. It replaced central and state taxes such as excise duty, service tax, central sales tax, VAT and various cesses. Alcohol for human consumption remains outside GST; five petroleum products were kept out initially.

- **One nation, one tax** - uniformity and no cascading of taxes.
- **Dual structure** - CGST (Centre) and SGST (State).
- **Destination-based tax.**

- **Input Tax Credit (ITC)** - credit for tax paid on inputs avoids double taxation.
- **Compliance and transparency** - digital records reduce evasion.

Note: The original notes list the rate slabs as 0%, 5%, 12%, 18% and 28% (five slabs). GST slabs have since been revised by the GST Council, so check the latest textbook before the exam.

Privatisation

Shedding ownership or management of a government enterprise, either by withdrawal of the government from ownership and management, or by outright sale. Selling part of the equity of public sector enterprises to the public is **disinvestment**. Examples of status: Maharatna - Indian Oil Corporation, SAIL; Navratna - HAL, MTNL; Miniratna - BSNL, Airport Authority of India, IRCTC.

Globalisation

Integration of a country's economy with the world economy through networks and activities that remove economic, social and geographical boundaries. **Outsourcing** is an important outcome: a company hires regular services from external sources (BPO/call centres, accounting, banking services, music recording, film editing, clinical advice). Low wages and skilled workers made India a destination for outsourcing.

WTO: founded in 1995 as successor to GATT (1948). It aims at a rule-based trading system with no arbitrary restrictions, increased production and trade in goods and services, optimum use of world resources and protection of the environment, through removal of tariff and non-tariff barriers. India has been at the forefront in advocating the interests of developing countries.

Assessment of the reform period

Area	Assessment
GDP / growth	Rapid, continuous GDP growth; service sector improved; agriculture growth declined; industry fluctuated.
External sector	Rapid rise in FDI, FII and foreign exchange reserves; exports of auto parts, engineering goods, IT software, textiles; prices kept under control.
Employment	Reform-led growth did not generate enough employment.
Agriculture	Public investment (especially infrastructure) fell; removal of fertiliser subsidies raised costs for small and marginal farmers; export orientation shifted focus to cash crops and raised food-grain prices.
Industry	Growth slowed due to cheaper imports reducing demand, inadequate infrastructure and power, and non-tariff barriers in developed markets.
Disinvestment	Annual targets set; critics say assets were undervalued and proceeds used to fill revenue gaps instead of building social infrastructure.
Fiscal policy	Tax reductions did not yield the expected revenue; tariff cuts reduced customs revenue.

Practice questions

- 1 What were the objectives of the NEP 1991?
- 2 Critically evaluate the impact of globalisation on the agricultural and industrial sectors in India.
- 3 Critically evaluate the impact of the New Economic Policy of 1991.
- 4 Describe the circumstances that led to the introduction of new economic reforms.
- 5 Do you agree with the privatisation of profit-making public enterprises? Substantiate.
- 6 Do you think outsourcing is good for India? Substantiate your views.
- 7 Does the NEP 1991 adversely affect agricultural development in India? Provide evidence.

- 8 Evaluate the privatisation of the Indian economy in the light of social justice.
- 9 Explain globalisation in the context of the Indian economy.
- 10 Discuss the process of liberalisation introduced in India since 1991.
- 11 List some arguments against the NEP 1991.
- 12 List three points each in favour of and against privatisation.
- 13 Small-scale industries are not strong enough to withstand global competition. Do you agree in light of recent policies?
- 14 What is meant by disinvestment?
- 15 Write advantages and disadvantages of the 1991 New Economic Policy.
- 16 Identify the reform measures adopted to overcome the foreign-exchange crisis of 1991.
- 17 Discuss the reforms in the financial sector in NEP 1991.
- 18 What were the tax reforms implemented in connection with NEP 1991?
- 19 Reasons for the 1991 reforms: (a) Gulf war (b) negative balance of payments (c) increase in fiscal deficit (d) all of the above.
- 20 Match: Liberalisation - Abolished licensing; Privatisation - Disinvestment / Loss-making PSUs; Globalisation - Outsourcing / Skilled and cheap manpower.

IE 4. Poverty (SCERT additional text)

Weightage: 6 marks | Periods: 20

Meaning

Poverty is a state in which a person cannot fulfil even the basic necessities of life - food, clothing, shelter and health facilities.

Absolute poverty	Relative poverty
A section of society is unable to meet its basic necessities (food, clothing, housing, education, health).	Inequalities of income exist, so one person is poor in relation to another.

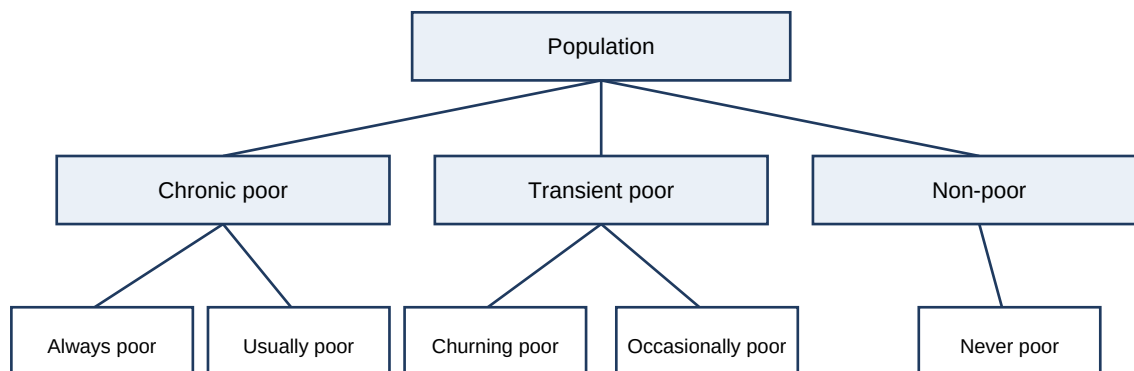
Correction: the original notes had these two definitions under the wrong headings; they are given correctly above.

Poverty line

The poverty line is the cut-off on the distribution that divides the population into poor (BPL, below the line) and non-poor (APL, above the line). A person is poor if income or consumption falls below the minimum needed for basic needs.

Committee / body	Basis
Y.K. Alagh (1979)	Nutritional requirement: 2400 calories per person per day (rural), 2100 (urban). At 2000-01 prices: Rs. 328 per month rural, Rs. 454 urban. At 2005-06 prices: Rs. 368 rural, Rs. 558 urban.
Suresh Tendulkar (2011)	Cost of living basis; daily per capita expenditure Rs. 27 (rural) and Rs. 33 (urban).
C. Rangarajan (2014)	Those spending over Rs. 32 a day (rural) and Rs. 47 (urban) are not poor; about 3 in 10 Indians poor.
World Bank (global)	\$2.15 per day (updated for 2022).

Categories of the poor



- **Chronic poor:** always poor and usually poor.
- **Transient poor:** churning poor (move in and out of poverty, e.g. small farmers) and occasionally poor (rich most of the time, poor sometimes).
- **Non-poor:** never poor.

Characteristics of the poor

Hunger, starvation and malnutrition; poor health; poor education; limited economic opportunities; debt trap; lack of electricity and water; larger family size.

Criticism of the poverty line

It does not distinguish between the very poor and the other poor; ignores access to education, health care and drinking water; ignores social factors like illiteracy, ill health and lack of access to resources; ignores civil and political freedom.

Tools to measure poverty

- **Headcount ratio (HCR)** = number of people below the poverty line / total population.
- **Sen Index**, developed by Nobel laureate Amartya Sen.
- **Poverty Gap Index** and **Squared Poverty Gap**.
- Official poverty data is collected by the NSSO.

National Multidimensional Poverty Index (MPI)

Income was earlier the main determinant of poverty. The Alkire-Foster methodology based MPI records overlapping deprivations in living standards, health and education, complementing income poverty. The global MPI is published by OPHI (Oxford) and UNDP. India's national MPI has three equally weighted dimensions (1/3 each) with 12 indicators:

Dimension (weight)	Indicators and weights
Health (1/3)	Nutrition (1/6); child and adolescent mortality (1/12); maternal health (1/12)
Education (1/3)	Years of schooling (1/6); school attendance (1/6)
Standard of living (1/3)	Cooking fuel, sanitation, drinking water, housing, electricity, assets, bank account (1/21 each)

Causes of poverty

- 1 Underdevelopment and uneven development
- 2 Population explosion
- 3 High unemployment and underemployment
- 4 Income inequality
- 5 Inflation
- 6 High illiteracy
- 7 Poor state of agriculture
- 8 Underutilisation of resources
- 9 Social factors (caste, discrimination against women and minorities)
- 10 Political factors

Removing poverty

Accelerate economic growth, reduce income inequality, control population, develop agriculture, create more employment, land reforms.

Three-dimensional approach

- 1 **Growth-oriented approach** (trickle down) - rapid GDP and per capita income growth will reduce poverty.
- 2 **Poverty alleviation programmes** - direct government schemes.

- 3 **Minimum needs programme** - provide basic amenities such as subsidised food grains, education, health, water supply and sanitation.

Poverty alleviation programmes in India

Scheme	Key points
IRDP	Started 1978-79, nationwide 2 Oct 1980; bank loans and subsidies for the rural poor.
Jawahar Gram Samridhi Yojana (JGSY)	Rural economic infrastructure and employment through gram panchayats (1999).
Sampoorna Gramin Rozgar Yojana (SGRY)	Merged JGSY and Employment Assurance Scheme (2001); wage jobs, durable assets, food security.
Indira Awaas Yojana / PMAY-G	Free housing for rural BPL families; Housing for All by 2022.
Food for Work	Wage employment to improve food security.
MGNREGA 2005	100 days of guaranteed rural employment per household; one-third reserved for women.
Aajeevika (NRLM) 2011	Livelihood mission with self-help groups for the rural poor.
NULM	Self-help groups, skill development, easy credit for the urban poor.
PM Kaushal Vikas Yojana	Skill training, especially for class X and XII dropouts.
PM Jan Dhan Yojana	Bank accounts for the unbanked; direct benefit transfer.
National Food Security Act 2013	Covers PDS, ICDS and Midday Meal; recognises maternity benefits.
National Social Assistance Programme	Old age pension, family benefit, maternity benefit (NOAPS, NFBS, NMBS).
Annapurna, Antyodaya	Food security schemes for the destitute and poorest households.
PMAGY, SAGY, Gram Swaraj Abhiyan	Village development schemes (SC-majority villages; MPs adopting model villages; social harmony and awareness).

Critical assessment

Programmes have been successful to a great extent and the percentage of poor in some states is now well below the national average. But hunger, malnourishment, illiteracy and lack of basic amenities persist; land distribution remains unequal; funds are insufficient; there is corruption and lack of commitment; and the poor often lack information about schemes.

Practice questions

- 1 Who is a poor man?
- 2 Distinguish between absolute poverty and relative poverty.
- 3 What are the various causes of poverty?
- 4 How is the poverty line fixed and poverty measured?
- 5 List major poverty alleviation programmes under: self-employment, wage employment, social security, food security.
- 6 Fill in the diagram of the chronic poor, transient poor and non-poor.
- 7 Do you think the poverty alleviation programmes achieved their objectives? Justify.
- 8 Categorise the different types of poverty.

- 9 Imagine you are a village officer. Make recommendations to address poverty.
- 10 Do you think poverty and unemployment are mutually reinforcing? Provide evidence.
- 11 Briefly explain the three-dimensional approach to poverty.
- 12 Prepare an essay on 'Poverty alleviation programmes'.

IE 5. Human Capital Formation in India

Weightage: 4 marks | Periods: 11

Basic concepts

Physical capital is made of inputs for further production such as plants, machinery, factories, buildings and raw materials. **Human capital** is the economic value of a worker's experience and skills - education, training, intelligence, skills, health. **Human capital formation** is the development of abilities and skills among the population.

Physical capital	Human capital
Tangible	Intangible
Can be easily sold in the market	Cannot be sold in the market
Depreciates with time	Depreciation can be reduced by continuous investment in education and health
More mobile between countries	Less mobile between countries
Outcome of the owner's conscious decision; mainly an economic and technical process	Partly a social process and partly a conscious decision of the possessor

Importance

Effective use of physical and human capital; increases life expectancy; improves quality of life; helps control population growth. An educated person contributes more to growth than an illiterate one, and a healthy person supplies labour for longer. Education also supports invention and innovation.

Sources of human capital formation

- **Expenditure on education** - training and work experience determine the use of manpower; accelerates growth.
- **Expenditure on health** - preventive medicine, curative medicine, medical intervention, clean water and sanitation.
- **On-the-job training** - learning by doing under supervision raises productivity.
- **Expenditure on migration** - people move for better jobs; higher earnings outweigh migration costs.
- **Expenditure on information** - about the labour market and educational institutions.

Reasons for poor human capital formation

Insufficient resources allocated to education and health; serious inefficiencies such as widespread illiteracy, non-education of many children and poor health facilities.

Human capital	Human development
Narrow concept	Broad concept
Education and health are means to increase labour productivity	Reading and writing skills and health are essential to human well-being
Treats human beings as a means to increase productivity	Human beings are an end in themselves

Education sector in India

- **Pre-school:** crèches (below 3), nurseries (3-6); government Anganwadis and Balwadis.
- **Elementary (6-14 years, classes I-VIII):** free and compulsory under the Constitution.

- **Operation Blackboard (1987):** minimum facilities in primary schools - two large all-weather rooms, toys and games, blackboards, maps, charts and learning materials.
- **Non-formal education:** for children who cannot attend full-time school.
- **Secondary and senior secondary:** classes IX-X lead to XI-XII, a stepping stone to higher and technical education.
- **Higher education:** universities grew from 27 (1950-51) to 760 (2014-15) and 1,113 (January 2024). UGC promotes and coordinates university education and standards.
- **Technical education:** AICTE is the apex body.
- **IGNOU (1985):** open and distance learning to raise the Gross Enrolment Ratio.
- **Vocational education:** centrally sponsored scheme at +2 level since 1988 to reduce the skills mismatch.
- **Jawahar Navodaya Vidyalaya:** one per district; quality education for talented rural children; competence in three languages.
- **Kendriya Vidyalaya (1963):** CBSE-affiliated schools for children of transferable central government and defence personnel; uniform curriculum.

Gross Enrolment Ratio (GER) = (number of actual students enrolled / number of potential students) x 100.

Gender equity and women's education

Women's education gives economic independence, raises social status, promotes family welfare and population control, improves family health care and thus builds human capital; educating a woman means educating a family.

Weaknesses of the education sector

- Inadequate facilities - the notes cite 46% of females and 24% of males illiterate
- Unequal accessibility, especially for females
- Irrelevant and poor quality - too much general and too little technical and vocational education

Practice questions

- 1 Classify into physical and human capital: roads, teachers, ports, engineers, technicians, scientists, factories, buildings.
- 2 Can migration of people from rural to urban areas and training given by a firm be considered sources of human capital formation? Substantiate.
- 3 How does human capital formation contribute to economic growth?
- 4 Discuss the similarities and dissimilarities between physical capital formation and human capital formation.
- 5 Write an essay on 'human capital formation' in India.
- 6 Briefly explain the sources of human capital formation.
- 7 Human capital is as important as physical capital for the economic development of a country. Elucidate.
- 8 Investment in human capital contributes to economic growth and development. Comment.
- 9 What are the two major sources of human capital in a country?
- 10 Distinguish between human capital and physical capital.
- 11 Trace the relationship between human capital and economic growth.

12 Define the Gross Enrolment Ratio (GER).

IE 6. Rural Development

Weightage: 5 marks | Periods: 13

Rural development means action for the development of areas lagging behind in the village economy, including agricultural development.

Key issues

- **Human resources:** literacy (especially female literacy), education, skill development, health, sanitation.
- **Land reform:** improve productivity, abolish intermediaries, protect rights of the tiller, end exploitation of cultivators.
- **Infrastructure:** electricity, irrigation, transport, credit, marketing, village roads, research and extension.
- **Alleviation of poverty:** special measures and productive employment.
- **Productive resources:** fuller use and more investment in farm and non-farm areas.

Rural credit

Provision of loans for agricultural and non-agricultural production. **Non-institutional sources:** moneylenders, relatives, traders, commission agents, landlords. **Institutional sources:** cooperatives, land development banks, commercial banks, regional rural banks, government, NABARD and self-help groups.

Institution	Key points
Cooperative credit societies	Provide credit at reasonable interest; free farmers from moneylenders; about 30% of rural credit.
Land development banks	Long-term credit against mortgage of land, for inputs and permanent structures.
Commercial banks	After nationalisation (1969, 1980) gave small, medium and long-term loans and marketing help.
Regional rural banks	Fill the gap in rural credit; open branches where no banking exists; serve small and marginal farmers.
NABARD	Recommended by the B. Sivaraman Committee (1979); set up by Act 61 of 1981; apex agency for rural finance - refines institutions, co-ordinates, monitors, trains and regulates cooperative banks and RRBs.
Self-help groups (SHGs)	Village groups of 10-20 members (usually women) pooling small savings, lending internally and linked to banks for micro-credit.

Agricultural marketing

Assembly, storage, processing, transportation, packaging, grading and distribution of agricultural commodities. Measures adopted: regulated markets, cooperative marketing, infrastructure (roads, railways, warehouses, storage and processing), standardisation and grading, and **Minimum Support Price (MSP)** for wheat, rice, maize, cotton, sugar cane, pulses etc.

Defects of agricultural marketing	Measures for improvement
Lack of storage facilities Distress sale Lack of transport Middlemen / intermediaries Lack of institutional finance	Storage at farm level Regulated markets Better transport Cooperative marketing societies Cheap credit Grading of produce Prompt marketing information

Diversification

Giving gainful employment in allied and non-farm activities to the excess workforce in agriculture, to overcome poverty and underemployment. It has two aspects: diversification of crop production and diversification of productive activities. Non-farm activities include animal husbandry, dairy farming, fisheries, horticulture, poultry, agro-processing, food processing, leather industry and tourism.

Sustainable development and organic farming

Sustainable development meets the needs of the present generation without affecting the ability of future generations. **Organic farming** produces food naturally without synthetic chemical fertilisers or genetically modified organisms.

Advantages	Disadvantages
Removes costly inputs (HYV seeds, chemical fertilisers, pesticides) Export income from rising demand Healthy, pesticide-free food More employment (labour-intensive) Environmentally sustainable	Needs awareness and willingness of farmers No proper infrastructure or marketing for organic produce Needs a suitable agricultural policy Lower yields in the initial years Hard for small and marginal farmers to adapt

Practice questions

- 1 Analyse the role of Kudumbashree units in rural development.
- 2 As most Indians live in rural areas, discuss the importance of non-farm employment.
- 3 Bring out the importance of animal husbandry, fisheries and horticulture as sources of diversification.
- 4 Critically appraise rural banking operations in the light of recent farmer suicides in India.
- 5 Discuss the importance of credit in rural development.
- 6 Discuss the need for agricultural diversification. How far can fisheries and horticulture contribute?
- 7 Enlist four problems faced by farmers during the initial years of organic farming.
- 8 Name some areas that need fresh initiatives for development in rural India.
- 9 Suggest measures taken by the government to improve agricultural marketing.
- 10 Organic farming has gained importance recently. List its benefits.
- 11 Organic farming maintains and restores ecological balance. Analyse in light of its success in India.
- 12 Organic farming promotes sustainable development. Elucidate.
- 13 There is an increasing trend towards organic farming in Kerala. List its merits and demerits.
- 14 What is organic farming?
- 15 Why is agricultural diversification essential for sustainable development?

IE 7. Employment: Growth, Informalisation and Other Issues

Weightage: 3 marks | Periods: 8

Basic terms

Term	Meaning
Worker	A person who works for a living through productive activity.
Regular worker	Permanent job with the employer; gets social security (pension, provident fund).
Casual wage labourer	Not employed on a regular or long-term basis; no social security benefits.
Casualisation of workforce	Shift from self-employment and regular salaried work to casual wage work.
Labour force	Persons working + persons seeking and available for work.
Work force	Persons actually employed at a particular time.
Unemployed people	Labour force - work force.
Labour force participation rate	Labour force / total population.
Worker population ratio (WPR)	(Total number of workers / total population) x 100; shows the share of the population actively contributing to production.
Full employment	All who are able and willing to work get work at the prevailing wage rate.

Kinds of unemployment

Type	Meaning
Industrial (urban)	Joblessness among those seeking work in industry.
Educated (urban)	Educated people unable to find suitable work.
Seasonal (rural)	Job loss at certain times of the year, e.g. farming, fishing.
Disguised (rural)	More people work than are actually needed.
Frictional	Short-term unemployment while workers switch from one job to another.

Formal and informal sectors

Formal sector	Informal sector
Government and private businesses employing ten or more workers.	Private businesses employing fewer than ten workers (agricultural labourers, small business owners, farm employees); irregular income, no protection, outdated technology, often no accounts.

Sectors of employment

Sector	Activities
Primary	Extraction of raw materials - farming and fishing
Secondary	Manufacturing, electricity and gas, construction

Sector	Activities
Tertiary	Retail, financial services, health, education, transport and communication, hospitality, real estate, information technology

Changing structure of employment, 1950-2024

In the 1950s and 60s over 70% of the labour force worked in agriculture. Industrialisation and the liberalisation of the 1980s shifted workers towards manufacturing and services. Between 1991 and 2011 manufacturing rose from 17% to 22% of GDP and services from 45% to 65%, while agriculture fell from 30% to 14%. Informal, low-paid employment increased alongside. New sectors (ITES, e-commerce, IT) and the gig economy have emerged, but job insecurity, skill obsolescence and regional disparities remain; COVID-19 accelerated remote work, automation and digitisation, requiring reskilling. Government programmes include Make in India, Skill India and Digital India.

Practice questions

- 1 Disguised unemployment is commonly found in the industrial sector. (True or false? Justify.)
- 2 Rajesh is an engineering graduate working as a bus conductor. Name this type of unemployment.
- 3 Kerala has high unemployment, yet many migrant workers work here and manual workers are hard to find. Explain this paradox.
- 4 Prepare a note on unemployment in India.
- 5 Differentiate between disguised and seasonal unemployment with an example each.
- 6 Define the worker population ratio.
- 7 Differentiate between the labour force and the work force.
- 8 Differentiate between the formal and informal sectors.
- 9 Who is a casual wage labourer? How is he different from a regular worker?
- 10 Define full employment.

IE 8. Environment and Sustainable Development

Weightage: 6 marks | Periods: 17

Environment and its functions

The environment is the total planetary inheritance and the totality of resources, including biotic (birds, animals, plants, forests, fisheries) and abiotic (air, water, land, rocks, sunlight) elements.

- **Supplies resources** - renewable (trees, fish) and non-renewable (fossil fuels).
- **Assimilates waste** - assimilative capacity.
- **Sustains life** by providing genetic and biodiversity.
- **Provides aesthetic services** such as scenery.

Carrying capacity	Absorptive capacity
Resource extraction does not exceed the rate of regeneration and waste stays within the assimilating capacity of the environment.	The ability of the environment to absorb degradation.

Global environmental issues

Global warming: gradual rise in the average temperature of the lower atmosphere due to greenhouse gases since the Industrial Revolution, caused by burning fossil fuels and deforestation. Effects: melting polar ice, sea level rise and coastal flooding, species extinction, frequent tropical storms, more tropical diseases. The Kyoto UN conference (1997) produced an international agreement to fight it.

Ozone depletion: reduction of ozone in the stratosphere caused by chlorine and bromine compounds from chlorofluorocarbons (CFCs) used in air conditioners and refrigerators. More ultraviolet radiation reaches Earth, damaging living organisms and causing skin cancer.

State of India's environment

India has rich soil, rivers, forests, minerals (iron ore, coal, natural gas), the Indian Ocean and mountain ranges; the Indo-Gangetic plains are among the most fertile and densely populated regions. Pressing concerns: air pollution, water contamination, soil erosion, deforestation and wildlife extinction. Priority issues: land degradation, biodiversity loss, air pollution (especially vehicular), management of fresh water and solid waste management.

Causes of land degradation

Deforestation, unsustainable fuelwood and fodder extraction, shifting cultivation, encroachment on forest land, forest fires and overgrazing, lack of soil conservation, improper crop rotation, indiscriminate use of agro-chemicals, poor irrigation management, and competing uses of groundwater and land.

Sustainable development

Development that meets the needs of the present generation without compromising the ability of future generations to meet their own needs (UNCED / Brundtland Commission). It aims to reduce absolute poverty through lasting livelihoods that minimise resource depletion, environmental degradation and social instability, and to meet basic needs for employment, food, energy, water and housing.

Herman Daly's conditions: (1) limit human population within the environment's carrying capacity; (2) extract renewable resources sustainably - not above the rate of regeneration; (3) keep depletion of non-renewables within the rate of creation of renewable substitutes; (4) correct inefficiencies arising from pollution.

Strategies for sustainable development

Strategy	How it helps
Non-conventional energy	Wind and solar energy are eco-friendly alternatives to thermal and hydro power.
LPG and gobar gas in rural areas	Replace wood and dung cake; reduce deforestation and indoor pollution.
CNG in urban areas	Public transport on CNG has significantly lowered air pollution.
Wind power	Electricity in windy areas without harming the environment.
Solar power (photovoltaic cells)	Converts sunlight to electricity without pollution.
Mini-hydel plants	Small plants on mountain streams; no change in land use; meet local demand.
Traditional knowledge and practices	Environment-friendly agriculture, health care, housing and transport.
Bio-composting	Compost from organic waste (earthworms speed it up) restores land quality.
Bio-pest control	Plant-based pesticides, mixed cropping and crop rotation replace chemical pesticides.

Practice questions

- 1 What are the strategies for sustainable development?
- 2 Information technology plays a vital role in achieving sustainable development and food security. Comment.
- 3 Do you think the present pattern of development is sustainable? List the major issues that make it unsustainable.
- 4 What are the functions of the environment?
- 5 Resource depletion and environmental pollution are key issues. Give two reasons each from your locality and suggest remedial measures.
- 6 Prepare an essay on the importance of organic farming in promoting sustainable development.
- 7 State the issues related to sustainable development in light of its definition.
- 8 Land degradation is a major threat to sustainable development. Prepare a note on the recent landslides in Kerala.
- 9 Give your suggestions for achieving sustainable development in our country.
- 10 How does global warming affect India and its sustainable development?

IE 9. Comparative Development Experience of India and its Neighbours

Weightage: 3 marks | Periods: 11

Developmental path of India, China and Pakistan

India and Pakistan became independent in 1947 and the People's Republic of China was established in 1949. India announced its first five-year plan for 1951-56, China in 1953 and Pakistan in 1956. India and Pakistan created a large public sector and raised social spending. All three had similar growth rates and per capita incomes until the 1980s.

Development strategies

Country	Strategies
China	Great Leap Forward (1958): mass industrialisation, including small industries in backyards. Great Proletarian Cultural Revolution (1966-76): professionals and students sent to the countryside. 1978 reforms: gradual reforms in agriculture, foreign trade and investment. One-child norm (1970s): reduced population growth but created an ageing population and need for social security.
Pakistan	Mixed economy (public and private sectors side by side); import substitution framework in the late 1950s-early 1960s with import controls and tariff protection; adoption of the Green Revolution.

Demographic and development indicators

Indicator	India	China	Pakistan
Birth rate /1000 (2017 / 2024 est.)	18.08 / 16.2	12.43 / 10.2	28.60 / 25.5
Death rate /1000 (2017 / 2024 est.)	7.21 / 9.1	7.11 / 7.7	6.99 / 5.9
Density per sq. km (2017 / 2023)	450 / 435	148 / 149	270 / 302
Population growth (2017 / 2024 est.)	1.06% / 0.72%	0.56% / 0.23%	2.07% / 1.86%
Sex ratio, males per 1000 females (2017 / 2024 est.)	1100 / 1060	1130 / 1040	1090 / 1050
Infant mortality /1000 (2017 / 2024 est.)	31.50 / 30.4	7.90 / 6.2	58.80 / 51.5
Maternal mortality /100,000 (2017 / 2020)	145 / 103	29 / 23	140 / 154
HDI rank (2017 / 2024 est.)	130 / 134	86 / 75	150 / 164
Below poverty line (2017)	23%	24.3%	3.1%
Literacy rate (2017 / 2024 est.)	74.04% / 74.4%	96.8% / 98.5%	58% / 58%

Comparisons

Area	Points
Common successes of India and Pakistan	Substantial rise in GDP per capita; self-sufficiency in food production; declining dualism; decline in poverty.
Common failures of India and Pakistan	Slower GDP growth than China; poor HDI ranking; poor fiscal management; lack of political interest in social prosperity.
India's edge over Pakistan	Skilled manpower; investment in education; health facilities.

Area	Points
Pakistan's edge over India	Greater urbanisation; lower percentage below the poverty line; higher access to improved sanitation.
China's edge over India	Pro-poor reforms; effective agrarian reforms; export-driven manufacturing adding to GDP growth; SEZ policy attracting FDI.

Practice questions

- 1 The policy measures of India and China are almost similar, but their impacts differed. Compare the development experiences of the two economies.
- 2 China's rapid economic growth can be traced back to its 1978 reforms. Do you agree? Justify.
- 3 Compare the demographic features of India, China and Pakistan.
- 4 Evaluate the factors that led to rapid economic development in China.
- 5 Is it necessary for India and Pakistan to concentrate on the manufacturing sector as China does? Why?
- 6 Pakistan has successfully reduced the percentage of people below the poverty line, but the percentage in India is still high. State two reasons.
- 7 Group these features under India, China and Pakistan: one-child norm, low fertility rate, high urbanisation, mixed economy, very high fertility rate, large population, high density of population, growth due to manufacturing, growth due to the service sector.
- 8 Discuss the differences in the political systems of India, China and Pakistan.
- 9 Write a short note on China's development strategy: the Great Leap Forward.
- 10 What is the implication of the 'one-child norm' in China?
- 11 Do you think import substitution can protect domestic industries? Give your views in relation to India, China and Pakistan.